

MARKETPLACE 101



CONTENT

Team (to be added)

Metrics

Important Dashboards

Why don't we just let the marketplace run-free?

Marketplace Principles

Marketplace Tools

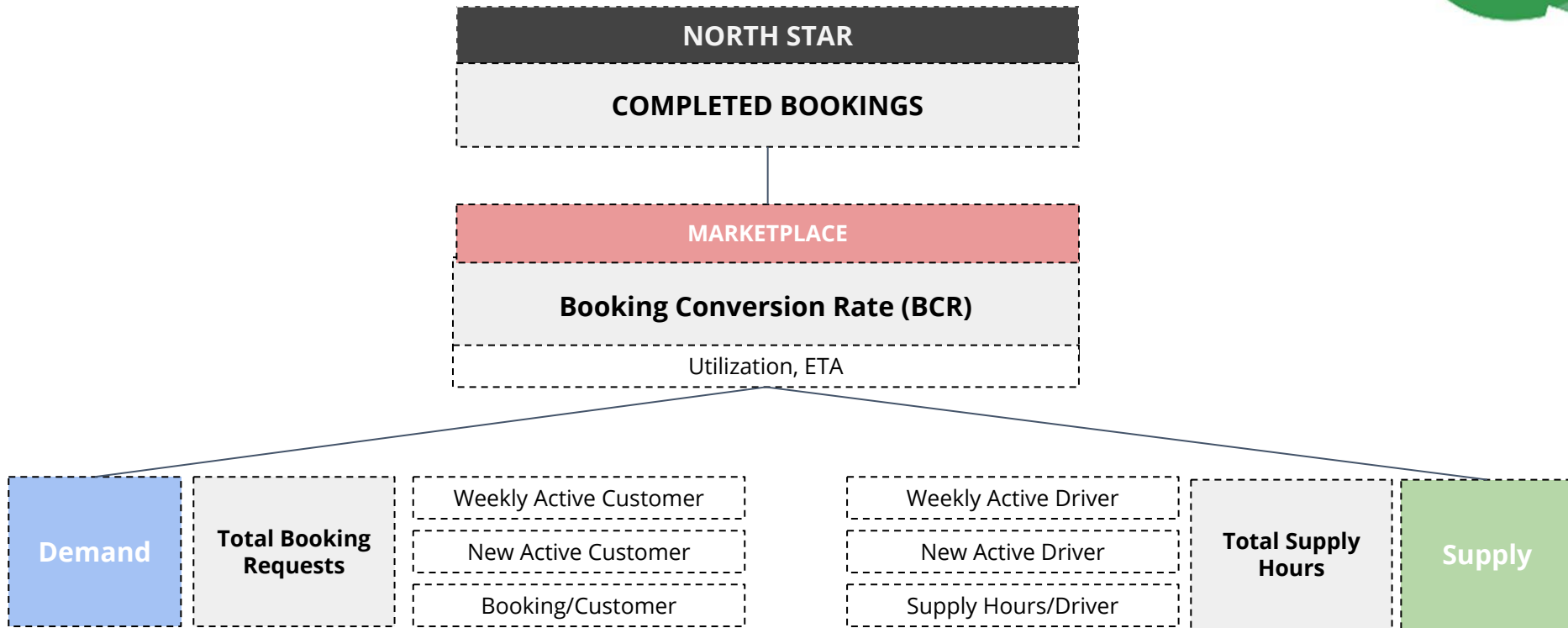
City Planning Playbook (to be updated)

City Planning Tactics

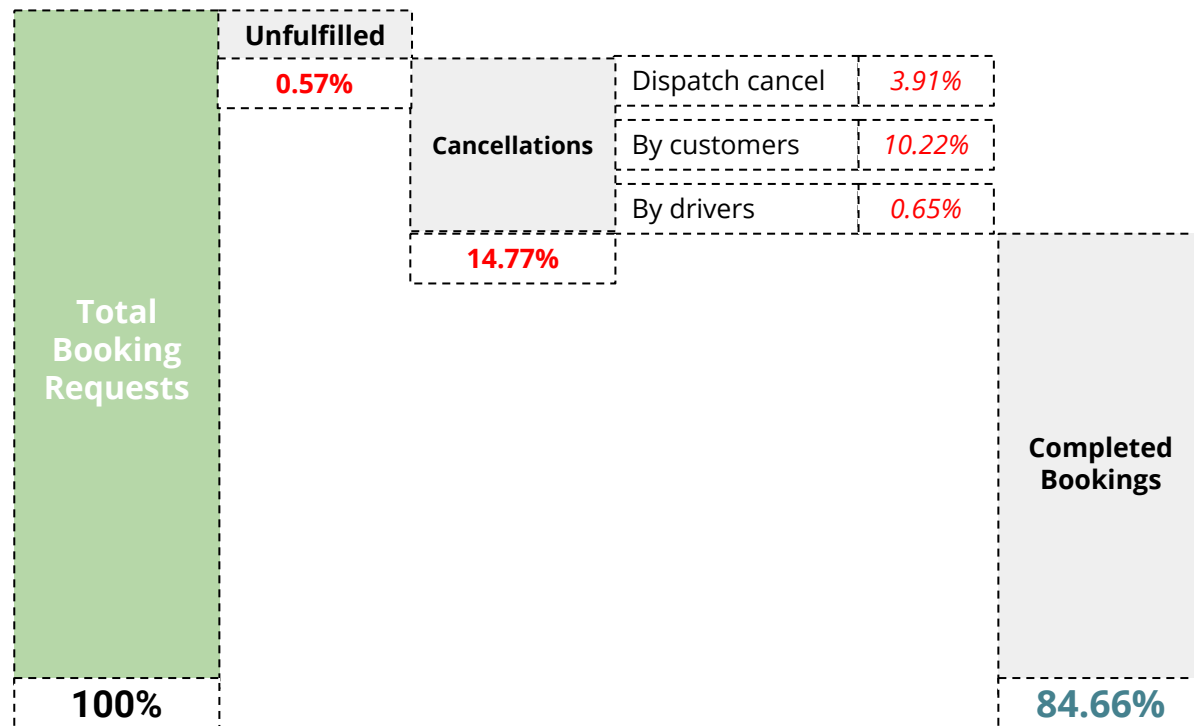
Communication Strategy - do's and don'ts (to be added)

Configuring pricing and incentives (to be added)

ESSENTIAL METRICS



The anatomy of Booking Conversion Rate (BCR)

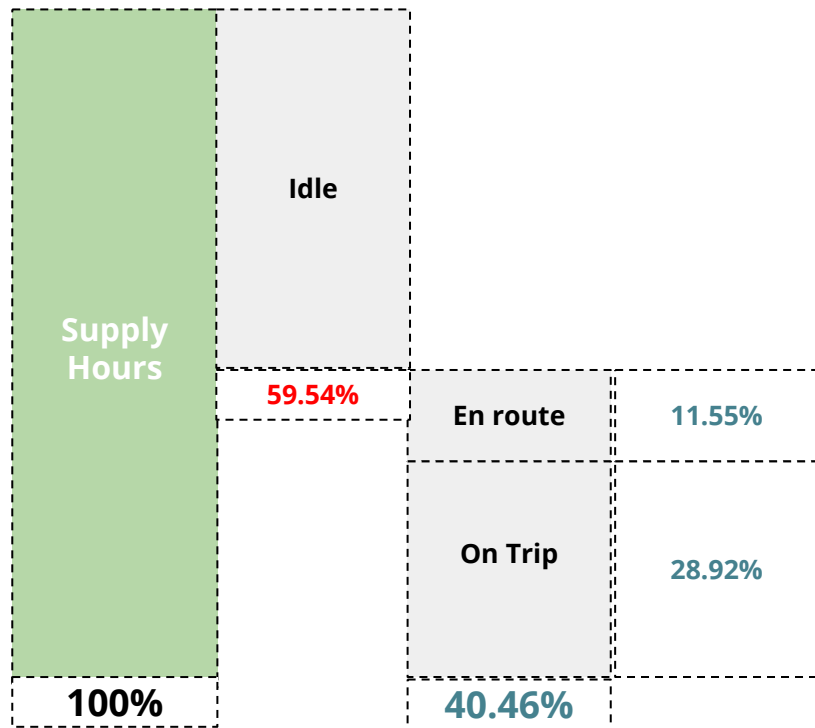


$$BCR = \frac{\text{Completed Bookings}}{\text{Total Booking Requests}}$$

BCR reflects the effectiveness of the platform to convert bookings. To some extent, it also reflects the overall picture of reliability, quality, and efficiency.

Magic number: **85%**

The anatomy of Utilization, Efficiency



$$Utilization = \frac{En\ route + On\ Trip}{Total\ Supply\ Hours}$$

$$Efficiency = \frac{On\ Trip}{Total\ Supply\ Hours}$$

Utilization reflects the proportion of supply hours spent on working. The aim is to reduce idle and en route time as much as possible, and to increase on trip time, since on trip is the only time the driver makes money.

Magic number: **60%**

The relationship of BCR and Utilization

Utilization Tipping Point Overview

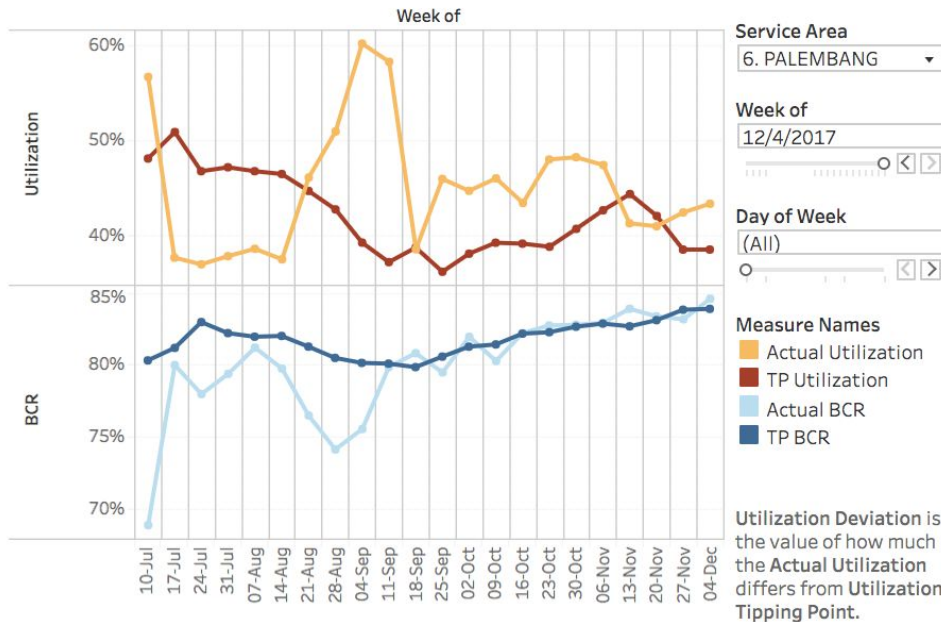
Utilization and Tipping Point & Actual Progression week-on-week

Cities Overview

Table below shows cities condition over 7 days period of selected week

Utilization Deviation Level				
-25%				25%
Service Area	TP Utilization	Actual Utiliza..	TP BCR	Actual BCR
6. PALEMBANG	38.49%	43.33%	83.93%	84.62%

Utilization & BCR TP - Week-on-Week - CAR



Metrics for Reliability

ETA = Est. En Route

ATA = Accepting Dispatch to Start Trip

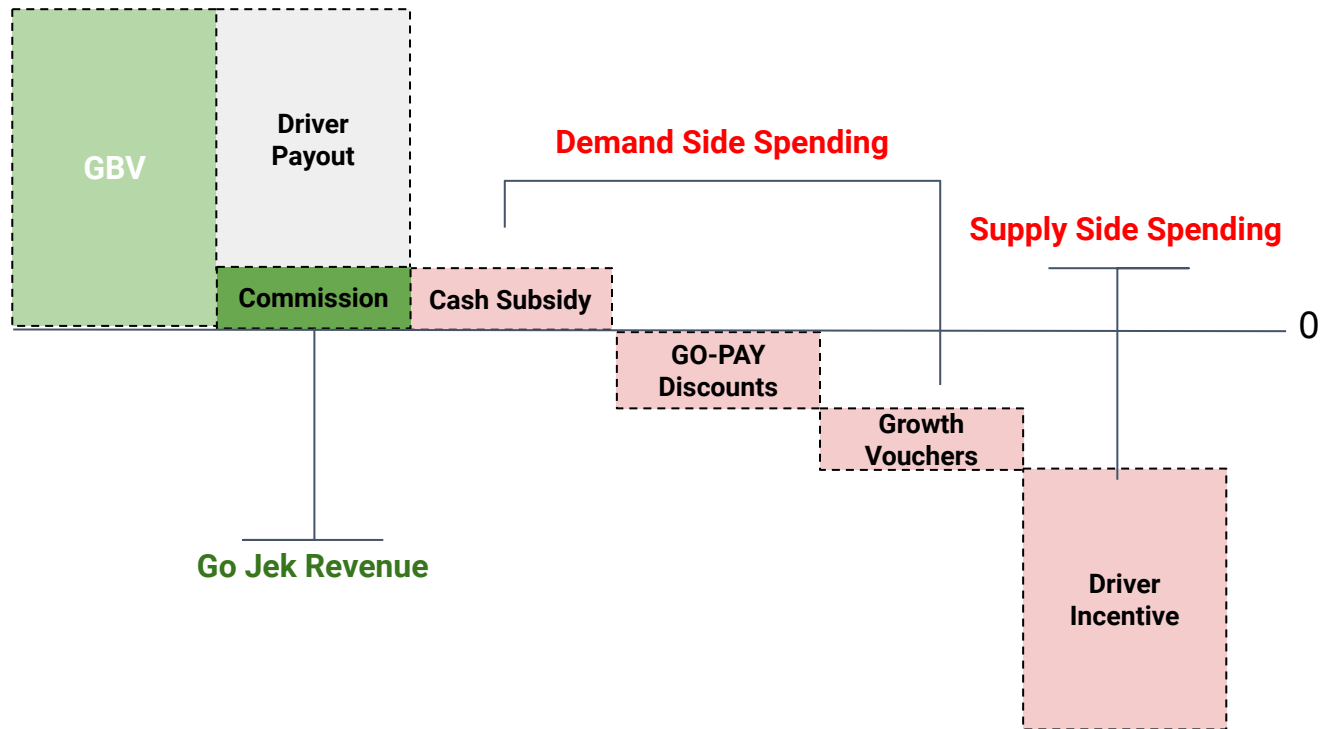
Delta ETA = ATA - ETA

How fast your driver can pick you up is deemed widely as how reliable the platform and measurement of customer experience

Magic number:

- **Average ETA < 5 mins**
- **Average Delta ETA < 1 mins**

The Anatomy of Unit Economics



Company's long term profitability is depending on the ability to take commission cut, and managing burn on demand and supply side.

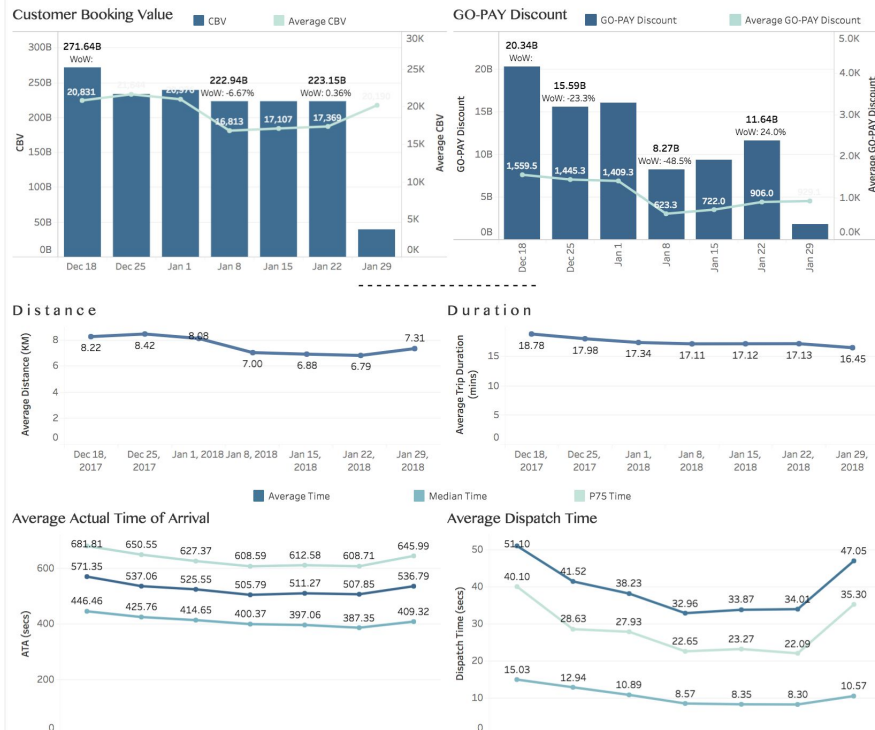
Net Zero:

$$\text{Commission Cut} = \text{DSS} + \text{SSS}$$

Net Inflow:

$$\text{Commission Cut} > \text{DSS} + \text{SSS}$$

OTHER IMPORTANT METRICS AND DASHBOARD



List of useful dashboards:

- [Mobility dashboard](#)
- [City Planning](#)
- [Bonus dashboard](#)
- Unit economics Dashboard
- Burn Dashboard
- Bi Weekly Churn Dashboard

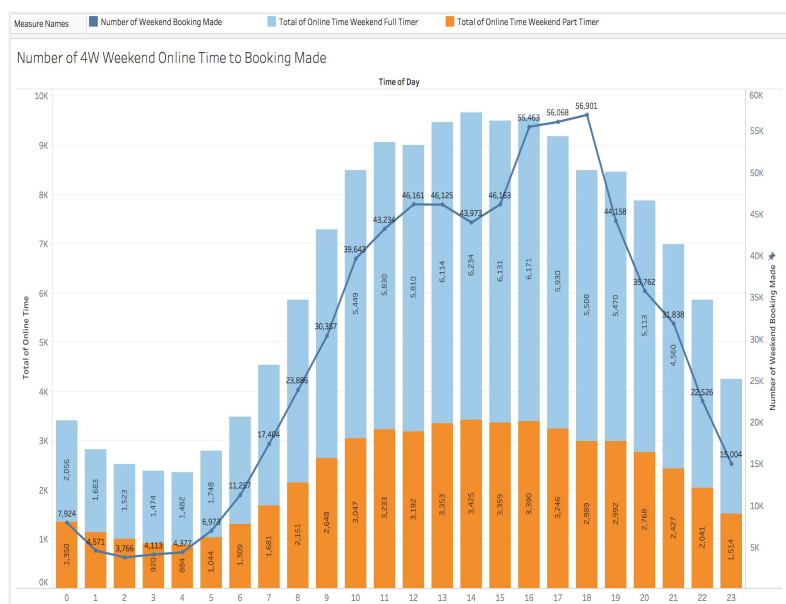
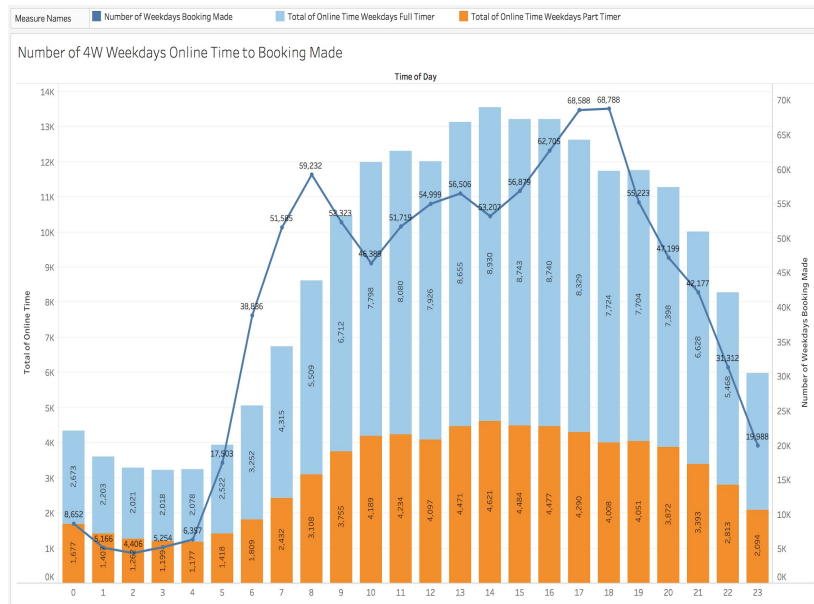
Real time dashboards:

- [Nationwide metrics](#)
- [Allocation Metrics](#)
- [Surge dashboard](#)

Why don't we just let the marketplace run free?

1

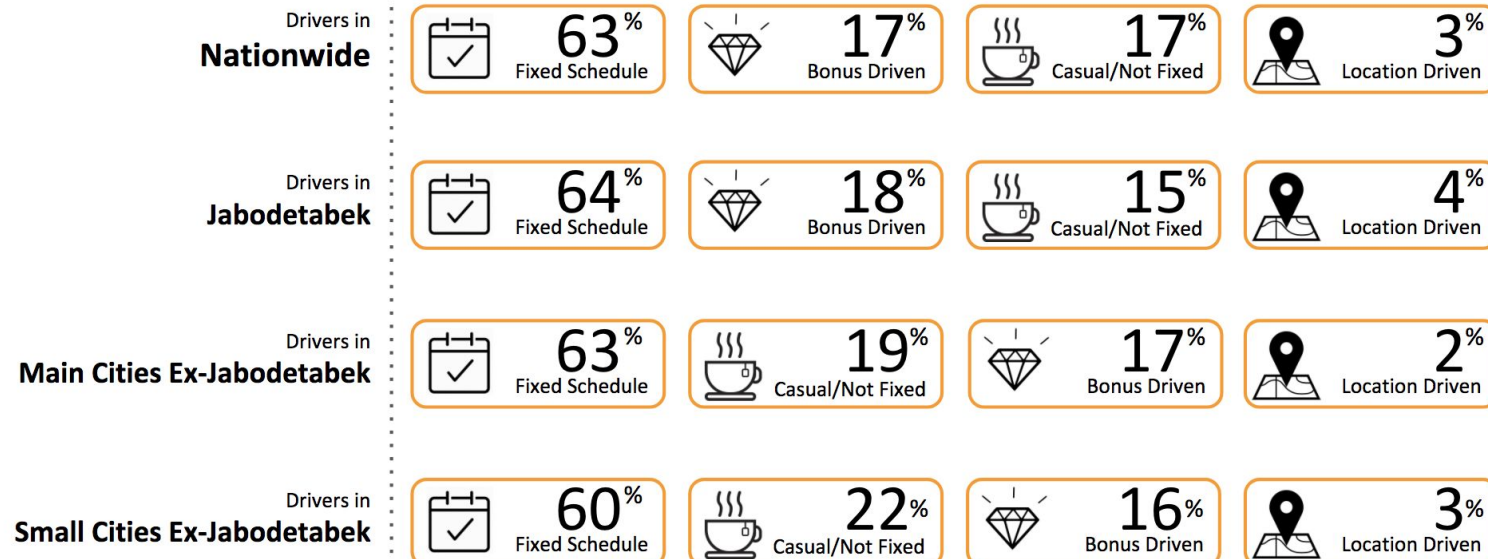
SUPPLY AND DEMAND IMBALANCES



Why don't we just let the marketplace run free?

2

DRIVER BEHAVIORS CAN BE COUNTERPRODUCTIVE



Why don't we just let the marketplace run free?

3

SURGE ALONE IS NOT ENOUGH

Don't we have surge for that?

Kuningan (Wednesday)



Setiabudi (Wednesday)



Stasiun Sudirman (Wednesday)



Grand Indonesia (Wednesday)



- Surge in itself is bad experience for customers, while optimizes BCR but too much surge can inhibits growth
- Surge is a supply positioning tool, but not too boost supply hours
- Surge alone is not enough to meet earning target, especially with aggressive competitors

MARKETPLACE TOOLS

1	2	3	3
PRICING	DEMAND GEN	INCENTIVES	ALLOCATION CONFIG
- Fare per km - Base fare - VDP - Surcharges - Geo & Time bound pricing - GO-PAY discount - Decoupled pricing - Static/dynamic surge	- Auto-applied vouchers - Promo codes	- Daily DxGy - MRG (coming) - Performa	- Dispatch radius - Acceptance Window - Bid iterations to DNF - SINBIN - Service area - DS Models: Jaeger, Meister, DRANK

INCENTIVE AT GO-JEK

1

DXGY - POINT SYSTEM

2

MINIMUM FARE GUARANTEED

3

**MINIMUM INCOME GUARANTEED
(MAGGI) in development**

Tiered point system incentive with performa as threshold.

Performa is bid to completion rate.

MARKETPLACE PRINCIPLES

1

Laser focus on supply

More supply means better reliability, better reliability induces more demand, more demand ensures better organic earnings for driver, better earnings will retain and attract more driver

2

When oversupplied...

Reduce supply side spending while keeping focus on supply positioning. Budget should be shifted to boost demand

3

When undersupplied...

Reduce customer side spending and allocate the budget to acquire new drivers and increase supply hours

4

When the market is balanced and growing organically...

steadily reduce burn to break-even, or even aiming at net-inflow

CITY PLANNING PLAYBOOK

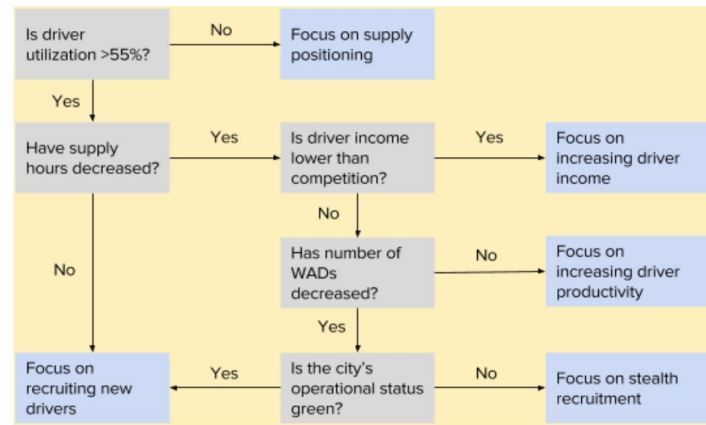
City Planning Playbook

DIAGNOSIS

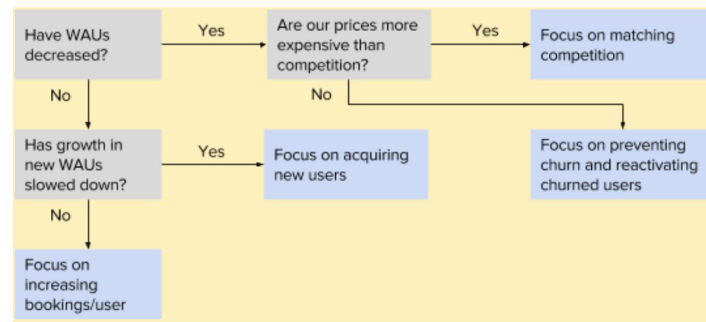
Question	Option	Score
What was your city's booking conversion rate last week?	<70% (-2) 70-80% (0) 80-90% (+2) >90% (+3)	
What was your city's average driver utilization last week?	<30% (+3) 30-45% (+2) 45-60% (+1) >60% (-2)	
Which is growing faster, unique bookings or supply hours?	- Unique Bookings (-1) - Supply Hours (+1)	
How is your city's average time to arrival compared to trailing 2 weeks?	- Higher (-1) - Equal or lower (+1)	
TOTAL (Negative = Boost supply, Positive = Boost demand)		

<https://docs.google.com/document/d/18CWdArQommtKUV2LVUdURQ8E0AJ59x2oQJNs9afGcel/edit>

BOOSTING SUPPLY



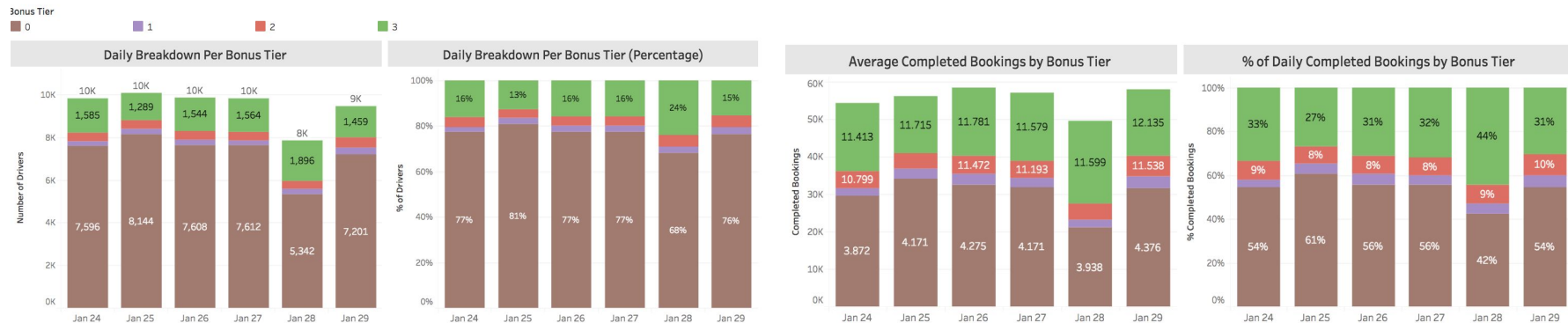
BOOSTING DEMAND



CITY PLANNING TACTICS

1

Full-timer is the bread and butter for reliable platform especially during initial stage, but they are expensive



- Despite only being 25% of total active drivers, full-timers contribute >30% completed bookings
- On average, full-timers completed 3x more trip than non-bonus achievers

CITY PLANNING TACTICS

2

Staying oversupplied while meeting target EPH is effective to gain traction, but bear in mind the burn level

3

Set performa to control driver behavior

4

Massive discounts and flat fare when utilization is very low



During the 1st week of Flat Fare

Trips	41394	61%
Activer Riders	15848	38%
New Riders	4474	74%
Driver Utilisation	51.5%	37%

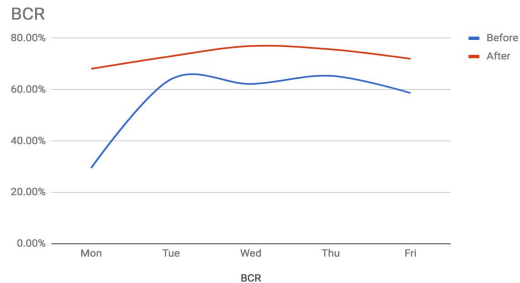
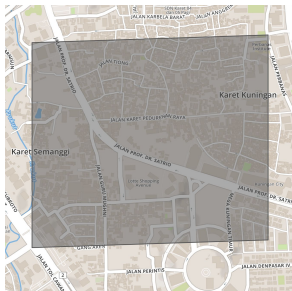
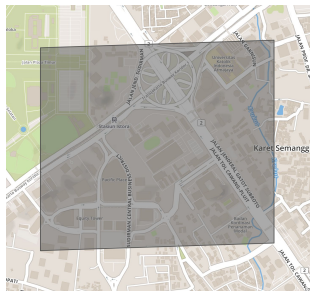
During the 2nd week of Flat Fare

Trips	51318	100%
Activer Riders	19543	70%
New Riders	5639	120%
Driver Utilisation	75.7%	101%

CITY PLANNING TACTICS

5

Geo-spatial and time-bound incentive to solve supply positioning issue



Extra bonus point on S2ID
in business districts during
PM rush

Before	active driver	total booking	completed booking	bcr	cancelled booking	cancelled dispatch	booking with surge	avg surge	acceptance rate	dispatch time	ata
10/23/2017	20,932	5,275	1,496	29.45%	11.57%	45.50%	20.00%	3.0	10.65%	126	15.9
10/24/2017	30,240	2,152	1,373	64.05%	21.96%	13.03%	19.17%	1.8	21.40%	106	12.8
10/25/2017	32,774	2,322	1,439	62.22%	22.02%	14.78%	19.77%	1.7	19.56%	96	14.0
10/26/2017	34,158	2,329	1,526	65.38%	19.96%	14.13%	19.99%	1.7	19.43%	95	13.2
10/27/2017	27,117	2,593	1,511	58.68%	25.26%	14.80%	19.85%	2.0	18.71%	104	14.6
After											
10/30/2017	32,409	2,218	1,510	68.10%	20.31%	11.19%	19.70%	1.7	28.06%	76	10.9
10/31/2017	44,792	2,477	1,804	73.00%	19.80%	6.57%	17.14%	1.4	40.00%	62	10.0
11/1/2017	49,841	2,675	2,059	77.00%	17.06%	5.79%	17.50%	1.5	39.64%	51	9.2
11/2/2017	63,519	2,874	2,158	75.69%	15.97%	8.19%	16.76%	1.5	36.45%	58	9.8
11/3/2017	48,160	2,956	2,131	72.00%	15.94%	10.24%	18.28%	1.6	33.98%	55	10.0

CITY PLANNING TACTICS

6

Segmented incentives for efficiency

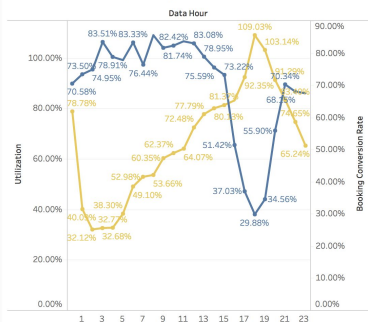
Cohort	Supply Hour Distribution		
	Weekday	Weekend	AVG Supply Hours
Before	84.63%	15.37%	31.00
Treatment	75.19%	24.81%	
Control	86.14%	13.86%	

31.00

28.82

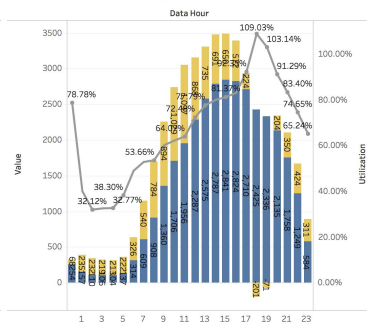
Segmented incentive to shift driver behavior to drive more on weekend

Utilization vs BCR (Hourly)



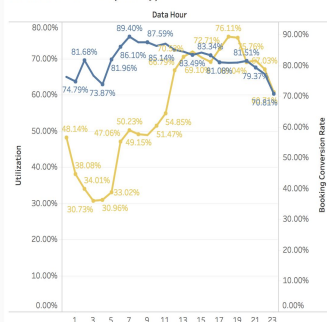
Measure Names
Utilization
Booking Conversion Rate

Supply Hour Utilization (Hourly)



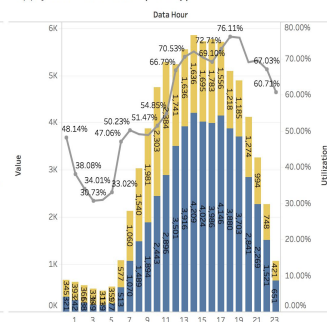
Measure Names
Idle Time (hours)
On Job Duration (hours)

Utilization vs BCR (Hourly)



Measure Names
Utilization
Booking Conversion Rate

Supply Hour Utilization (Hourly)



Measure Names
Idle Time (hours)
On Job Duration (hours)

CITY PLANNING TACTICS

7

Decoupled pricing to gain supply confidence and platform reliability

8

Win short trips for accelerated growth

9

Stretching the tiers to gain more supply hours when undersupplied

10

Flash Incentive Campaigns during major holidays like New Year, Christmas etc

11

Go Jutawan to change behaviour and increase supply hours